

for ordering components/supplies, any extraneous expenses, credit periods provided to suppliers, etc., all need to be relooked at,” she says.

Cash conservation is critical, but that also means businesses won’t grow at the rate witnessed a year ago. “Growth will be tempered, we won’t do growth at the expense of being unprofitable. Earlier, my budget was to scale about 5-6x this year, we will now scale at 3.5x,” says Sanghvi. Adds Vineet Rao, Co-founder and CEO of social commerce start-up DealShare: “Last year we grew like 13 times our annual GMV (gross merchandise value); [we] grew from \$60-\$70 million to about \$1 billion.

ment; and identifying and resolving operational design inefficiencies around warehouses and office space to facilitate organic growth.

THE GOOD GLAMM Group, which did 11 acquisitions since 2021, has accelerated the consolidation of companies it acquired. “We had initially planned to do these consolidations by this December leading into March next year, but now we have started it in July. This helps us remove role redundancies and enables us to optimise resources and other overheads,” says Sanghvi, adding that the company has

ing of the distance between category leaders and others. “One of the inevitable outcomes of a downturn is that leading companies across segments move far ahead. The problem is for the rest of the players. A steep gap is developing between the No. 1 and No. 2 in many segments,” he says.

Well-capitalised companies are also looking to snap up smaller ones that are struggling to raise capital to fight competition. Investors, in select cases, orchestrate consolidations to get something out of their investments. Sanghvi says valuations have dropped nearly 30 per cent while Rao says he expects a lot



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CO-FOUNDER, ARTHA SCHOOL
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PARTNER AND NATIONAL
LEADER, CONSUMER PRODUCT
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Next year, if it was still a growth market, we would have grown very handsomely but we are looking only at modest growth over this year.”

Rao says a cap on spending has resulted in over 40 per cent reduction in his company’s monthly burn compared to its spending in March 2022. “We have significantly brought down our monthly burn levels so that we have more than three years’ worth of runway. Many start-ups are doing it,” he says.

Times like these force start-ups to introspect and do structural corrections such as defining the right organisation structure; calculating RoI on people, processes, technologies, training and develop-

pushed new category launches to next year, and slowed down offline expansion. DealShare’s Rao, too, says the focus is to make select regions fully profitable before expanding to new geographies.

“Where companies typically cut costs is the pace of expansion and spend on marketing and, therefore, customer acquisition. When you expand beyond your core markets, you employ people and invest in infrastructure even prior to revenue build-up. These are two large areas of cost cutting,” says Angshuman Bhattacharya, Partner and National Leader, Consumer Product and Retail Sector, EY India, adding that a slowdown also results in widen-

more M&As to happen in three to six months. Both are currently exploring acquisition prospects. “Downturns are as inevitable as upturns, and preparation for dealing with them before they strike is essential. Just because you have raised money does not mean you need to spend it in mindless M&As, unsustainable market creation, or reckless hiring,” warns Hari, who has seen start-up journeys from close quarters with TaxiForSure and bigbasket.

In times like these, entrepreneurs need to stick to the old adage of ‘plan for the worst and hope for the best’. **BT**

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